

PLAYBOOK

Plays from the work.

Practical notes and working tools on building a business that can keep moving. Written from the store floor, the development schedule, the site walk, and the franchise pipeline.

**THE STRONGEST
PERFORMER BECOMES
THE BIGGEST SINGLE
POINT OF FAILURE.**

Why Your Best Manager Cannot Be the Whole System

Make the knowledge useful beyond one person.

TAVIS SCHOLZ · 16 SEPTEMBER 2026 · 2 MIN READ

You know the store. It runs tight when your best GM is on the floor and gets shaky the moment she's not. Vacation week, a family emergency, or just Saturday afternoon— the second she's out of the business, the numbers wobble, newer hires start underperforming and making calls that don't match what "good" looks like, and you're fielding questions that should never have reached you.

The instinct is to read this as a personnel problem: find another manager like her, pay to keep her, hope nothing happens to her. That's the wrong diagnosis. The real problem is that everything the store runs on lives in one person's head instead of in the store's system. She's not just managing the location, she is the training program, the standards, the judgment calls on staffing gaps and vendor relationships. None of that has a home outside of her. That's not loyalty or talent, that's exposure.

"The strongest performer becomes the biggest single point of failure."

I've seen this play out the same way across different brands and different store sizes: the strongest performer becomes the biggest single point of failure, and nobody notices until the day she's gone. The fix isn't a 40-page operations manual nobody reads. It's capturing the handful of judgment calls that actually separate her store from an average one, the stuff that never made it into training because it felt obvious to her.

Here's the practical move. Don't ask your best manager to write anything down. She won't prioritize it, and even if she tries, she'll write what she thinks she's supposed to say, not what she actually does. Instead, sit with her for 45 minutes and walk through two things: her opening routine, step by step, and one real problem she solved in the last two weeks without calling anyone. Write down the decisions in that conversation where a newer manager would have gotten it wrong. That list, not a manual, is your starting system. It's usually five to eight items, and it's almost never what corporate training already covers.

THIS WEEK

Book 45 minutes with your best manager. Ask her to talk you through her opening routine and the last problem she solved on her own. Write down every decision point where a less experienced manager would've guessed wrong. That's the first page of a system that survives her.

5 Things Your Opening Checklist Must Cover

The dates and handoffs that should never surprise the team.

TAVIS SCHOLZ · 16 SEPTEMBER 2026 · 3 MIN READ

The final inspection for the occupancy permit gets pushed two and a half weeks out. Nobody dropped the ball on purpose. The fire marshal came through on the first pass, found a handful of corrective items before he'd sign off (a couple of exit signs, a sprinkler head clearance issue, an alarm zone that didn't test clean) and had to schedule a return visit. That part is routine. What isn't routine is that four days passed before anyone outside construction knew about it, because nobody was treating a held inspection as urgent information that had to move immediately.

That's not really a fire marshal problem, and it's not really a construction problem either. It's a communication gap wearing a scheduling problem's clothes. A failed or held-up inspection is information, and information sitting in one person's inbox for four days is functionally the same as no information at all. Real estate and ops were still planning around the original inspection date because nobody told them it had slipped, so by the time they adjusted staffing, training, and the marketing spend, they were reacting instead of managing.

"A schedule with no room for either isn't a schedule, it's a hope."

The fix is still one document, one owner per line, tracked from lease execution through grand opening, plus a rule sitting on top of it: any inspection that doesn't clear clean gets flagged to every downstream owner the same day, not once the punch list is resolved. Not a project plan with 200 tasks nobody looks at again after week one. Just the dates that, if missed, cause real damage: a blown labor plan, a marketing push that launches into an empty store, or a certificate of occupancy that lands later than the lease requires.

A starting template

	OWNER
Lease execution date	Real Estate
Permit submission date	Construction
Utility turn-on request (30+ days out)	Construction
Rough construction milestone (framing/MEP complete)	Construction
Health department pre-inspection walkthrough	Construction, confirmed by Ops
Final health/fire/building inspection scheduled	Construction
Escalation on any failed or held inspection result (same day)	Whoever received the result
POS and back-office systems install date	IT/Ops
Store manager hire date (target: 6-8 weeks pre-open)	Ops/HR
Staff hiring complete	Store Manager
Training start date	Ops
Inventory/first order delivery date	Ops

MILESTONE**OWNER**

Soft open date

Ops

Grand opening / marketing launch date

Marketing

The column that actually prevents surprises isn't the date, it's the named owner, and the rule that a held inspection gets reported the same day is what keeps a routine correction from turning into a two-week slip. Build five to seven days of buffer into your target inspection date. Fire marshals get backed up, punch lists happen, and a schedule with no room for either isn't a schedule, it's a hope.

THIS WEEK

Pull your last three store openings. For each one, check whether the final CO or fire inspection cleared on the first pass. If it didn't, find out how many days passed between the failed result and the moment real estate, ops, or marketing found out about it. That gap, not the fire marshal's calendar, is what actually cost you time.

A Good Site Can Still Be the Wrong Location

Evaluate the market, not just the address.

TAVIS SCHOLZ · 16 SEPTEMBER 2026 · 2 MIN READ

The site checks every box. Traffic count is strong, demographics match the target profile, visibility is good, parking works. Everyone signs off. Eighteen months later, it's underperforming and nobody can point to what the checklist missed, because the checklist didn't miss anything. The address was fine. The market wasn't.

Here's what's actually going on. A standard site scorecard evaluates a location in isolation: this corner, this traffic count, this population within three miles. What it doesn't evaluate is the location relative to everything else already competing for the same customer, including your own other stores. I've watched a genuinely strong address underperform because it sat inside the trade area of an existing location that was already capturing most of the demand in that market. The new store didn't grow the pie, it split it.

"The address was fine. The market wasn't."

The other blind spot cuts the opposite direction. Some of the best-performing stores in a portfolio sit on sites that would've scored average on a textbook checklist, because what actually drove their performance wasn't the address, it was something about the

market itself: a customer base with higher visit frequency, a competitive set that was weaker than it looked on paper, a market where the brand had disproportionate word-of-mouth. A generic site model won't catch that, because it's not scoring the market, it's scoring the corner.

The practical fix is to stop evaluating a new site against a generic checklist and start evaluating it against your own portfolio's actual pattern. Take your best and worst performing stores and lay out what's genuinely different about the markets around them, not the sites. Population density, yes, but also competitive saturation, drive time patterns, and whether the new location would be feeding off an existing store or capturing net-new demand. That's a market model built from your own results, and it will tell you things a national site-selection template never will.

THIS WEEK

List your three best and three worst performing stores. Next to each, write down what's actually different about the market, not the address: competitive density, overlap with your own other locations, drive patterns, customer frequency. If you can't answer that for your current portfolio, you don't have a site model yet, you have a checklist, and those are not the same thing.

How Your Item 19 Will Break Your Sales Pipeline

The gap between what your reps say and what your FDD proves is where deals die.

TAVIS SCHOLZ · 16 SEPTEMBER 2026 · 2 MIN READ

A candidate is six weeks into the pipeline and everything's gone right. Discovery Day landed well, the unit economics conversation felt honest, and they're telling you they're ready to sign. Then their attorney finishes the mandatory FDD review, and the deal goes quiet. Not because the numbers in Item 19 were bad. Because they weren't the numbers the candidate had already been told.

Item 19 is the only place in the entire franchise sales process where a financial performance claim is legally allowed to exist. Under the FTC Franchise Rule, any earnings statement made outside it, spoken, emailed, or implied in a slide, by a rep, a broker, or an existing franchisee acting on the franchisor's behalf, is a violation, whether or not anyone meant it that way. Most sales teams don't sit down and decide to break that rule. It happens gradually, over a six- to twelve-week relationship, as a rep fields the same question over and over and starts filling the silence: "our strongest stores tend to run higher," or "that number's a system average, yours would probably do better in a market like this." None of that is in the FDD. All of it is now what the candidate believes going in. When their attorney compares the document to the conversation during the mandatory review window, the gap reads as one of two things: the franchisor oversold, or the number itself can't be trusted. Either read kills momentum at the single most

expensive point to lose a candidate, after months of nurturing, right before the signature.

“Any daylight between the two is exactly where your pipeline is leaking.”

The fix isn't telling your sales team to stop talking about money. Candidates will ask regardless. It's giving them a specific, compliant answer that maps directly to whatever Item 19 actually says this year, so there's nothing left to freelance. If your FDD makes no earnings claim at all, that answer is short and it should be memorized word for word, not improvised under pressure. If it does include a financial performance representation, the sales team needs the plain-English version of exactly what it covers and, just as important, what it deliberately leaves out (which markets, which unit ages, which outliers got excluded), because the deliberate gaps are exactly where reps tend to guess. Review that mapping every time Item 19 changes, not once when it's written.

THIS WEEK

Pull the last five to ten deals that stalled or died after the FDD went out. For each one, find out specifically what came up, whether the number itself was the problem, or it didn't match something the candidate had already heard. Those are two different problems, and only one of them is actually about performance. Then ask your sales team, without letting them check the FDD first, what they'd say out loud if a candidate asked about earnings today. Compare that answer to what Item 19 actually permits. Any daylight between the two is exactly where your pipeline is leaking.

Scaling Chaos: 7 Signs Growth Has Outrun Your Operating System

Revenue is up. Everything else feels harder. Here's how to tell whether that's normal growing pain or a system that's already broken.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 6 MIN READ

Sales are climbing. You're busier than you've ever been. And somehow, everything takes longer, costs more, and breaks more often than it did a year ago when you were smaller. If that sounds familiar, you're not imagining it, and you're not failing. You're running into a well-documented pattern: growth is a stress test, not a reward, and most businesses fail the test at a predictable point.

"The infrastructure that supports five people rarely survives fifty, and the systems that worked at \$2M in revenue tend to collapse somewhere between \$10M and \$20M."

The dangerous part is the assumption underneath it: if the numbers are going up, the business must be working. It isn't necessarily. Here are the seven signs that tell you the operating system, not the market, is what's actually failing.

1. Decisions Stall Because Nobody Actually Owns Them

Something needs a call. It sits. Not because anyone's negligent, but because it was never clear whose call it was to make. This is one of the clearest tells that you've outgrown informal coordination. In a five-person team, everybody just knows who decides what, because you're all in the same room constantly. At thirty or fifty people, that shared awareness quietly disappears, and nothing has replaced it.

2. Your Best People Are Burning Out Fixing What Should Be a System

If your strongest managers are the ones constantly stepping in to catch things that keep almost falling through, that's not a compliment to their work ethic. It's a warning that you're running on heroics instead of process, and heroics are not a scaling strategy. A DevOps industry survey found 47% of engineers directly tie their burnout to exactly this pattern: relying on someone heroic instead of fixing the underlying design.

3. Every New Hire Costs More Than the Last One

If onboarding is "shadow someone for a week and figure it out," your hiring costs are multiplying quietly with every person you add, because nothing compounds. A new hire without structured onboarding takes about 6.5 months to reach full productivity. With it, Brandon Hall Group found structured onboarding improves retention by 82% and productivity by more than 70%. That gap is entirely a documentation problem, not a talent problem.

FAST FACTS

- Knowledge workers spend 15 to 25% of their work week just retrieving information: asking questions, digging through email, waiting on callbacks.
- Documenting your top 20 most-needed processes (not everything, just the top 20) can cut that to 5 to 8%.

- A \$75,000-a-year manager spending 8 hours a week answering questions that should be written down somewhere is a real, ongoing cost, not a one-time inconvenience.

4. Nobody Remembers Where Anything Is Written Down, Because It Isn't

This is the single point of failure problem in plain terms: if a process only lives in one person's head, that person leaving, getting sick, or getting promoted means the work stops or degrades. It's not a hypothetical. It's the default state of most growing businesses, and it's fixable in weeks, not years.

5. Leadership Spends the Week Fighting Fires Instead of Building Anything

If your calendar (or your best manager's calendar) is full of status updates and putting out the same fire for the third time this month, that's not a busy week. That's a business where communication has become a design problem that nobody's designed yet.

6. Someone Is Running More Locations Than the Math Actually Supports

There are real numbers here, and they're worth knowing cold: a general manager runs one location well. An above-store leader can hold three to five (six, if they're close together and performing well). A regional director can hold four to six districts. Past those numbers, the leader stops leading and starts triaging, and everything underneath them starts to drift without anyone quite noticing why.

THE TWO DELAYED HIRES THAT COST THE MOST

The two hires operators put off longest are the first real GM and the first district manager, and both delays are expensive in the same way: the district manager hire gets delayed because five stores feels too small to justify the salary. But the

cost of not having one shows up as variance between your locations, and that variance almost always costs more than the salary would have.

7. Management Turnover Is Climbing Even While Hourly Turnover Looks Fine

Hourly turnover has actually been improving industry-wide. Management turnover is the part that's gotten stickier, and it's the expensive part: replacing a GM runs roughly \$17,651 in hard costs and takes 42 days to fill. If your best assistant managers keep leaving, that's not a hiring market problem. It's usually a sign the layer above them isn't built well enough to support them.

Where the Org Chart Should Actually Change

Restaurant and retail org structure research points to specific inflection points: roughly 3, 7, 15, and 30 locations. Strong GMs come first. Above-store leadership gets added around 5 to 7 units. Functional support (ops, marketing, finance, people) comes in around 15. Regional structure shows up around 30. Skipping a stage doesn't save money. It just moves the cost into variance, turnover, and firefighting, where it's harder to see and harder to fix.

The Fast Way Almost Always Loses

There's a well-known argument for growing fast and fixing the mess later, sometimes called blitzscaling: speed matters more than efficiency in winner-take-most markets, so tolerate the chaos and clean it up once you've won. The data on this is fairly blunt. Across a dataset of 3,200-plus high-growth startups, premature scaling was present in 70% of the failures, and companies that scaled in a disciplined, sequenced way grew roughly 20 times faster than the ones that scaled prematurely. The surprising part: disciplined scalers didn't end up smaller. They ended up with teams 38% *bigger* at the same stage, because their growth was correctly sequenced instead of just fast.

The Reset That Preceded Growth, Twice

Starbucks spent nearly two years fixing throughput and service consistency before committing to its next wave of store growth. Only once average service time across café and drive-thru dropped under four minutes did leadership commit to roughly 400 net-new U.S. stores. Their own framing: *"Growth doesn't require us to become something new, it requires us to be exceptionally good at who we already are."*

Chipotle is the cautionary version of the same lesson. 2025 was its worst year as a public company, same-store sales fell for the first time since 2006, largely traced back to speed and throughput problems that never got fixed before the company kept expanding into new formats like catering.

Two things worth un-learning:

- Growth doesn't prove your foundation is solid. It's a stress test of it, and stress tests find the weak point.
- Technology doesn't fix a process problem. Most small businesses now use AI tools, but only 14% have them actually embedded in how work gets done. Tools without a workflow underneath them don't compound.

THIS WEEK

Pick one manager, GM, or department lead and count how many locations, people, or workstreams actually report to them. Compare it against the spans above: one for a GM, three to five for an above-store leader, four to six districts for a regional director. If someone's over the line, that's not a personnel problem you can coach your way out of. It's a structure problem, and it's costing you in variance you're probably already seeing but attributing to something else.

The Founder Bottleneck: How to Build a Business That Can Make Decisions Without You

The thing that made you indispensable in year one is quietly capping what your business is worth in year seven.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 5 MIN READ

You're the person everyone calls. Vendor issue, staffing crisis, a customer complaint that escalated, a lease question, someone always ends up in your inbox or your voicemail. You've gotten good at it. Fast decisions, right most of the time, nobody has to wait on you long. It feels like strength. It's also, without you necessarily noticing, the reason your business can't grow past a certain point, and the reason it's worth less than it should be if you ever sell it.

Why the Business Slows Down Exactly When You Get Busier

There's a real ceiling here, and it shows up at a predictable size. Founder-led businesses typically hit the wall somewhere between \$2 million and \$15 million in revenue, not because the market changed, but because the founder became the operating system. At ten employees, being in every loop is fast and effective. At thirty, it's manageable. At fifty, it's the bottleneck. At a hundred, it's actively working against growth.

One consultancy ran a decision audit on a real business (an \$8 million luxury goods company, 65 employees) and tracked every decision the founder made over two weeks: 347 of them. When they broke those down, 41% were routine approvals that followed a clear rule and could be automated. Another 34% were judgment calls that could be delegated with the right framework. Only 25% actually required the founder specifically.

FAST FACTS

- After extracting the founder's decision logic into rules and frameworks, that same business went from 347 founder decisions per two weeks down to about 85.
- The founder's work week dropped from 70 hours to 45.
- Revenue rose 15% the following quarter, because decisions stopped waiting on one person's calendar.

What This Actually Costs You at Exit

If you plan to sell someday (and 75% of owners say they want to exit within ten years), this isn't a soft, someday problem. It's priced, right now, into what a buyer will pay.

“Enterprise value is not what your business earns. It is what a buyer will pay to own the cash flows after you are gone.”

Buyers interview your team, your top customers, your vendors, during diligence. If every answer traces back to you, they start discounting on the spot. Depending on how they frame it, that shows up as a straight 10 to 25% valuation cut (up to 50% in extreme cases), or as a multiple compression from the 7 to 8x a founder-independent business commands down to 3 to 4x, or as an earnout: they'll pay you over 24 months instead of at close, tied to the business surviving without you. Worth knowing before you agree to

one: on average, only about 21 cents of every earnout dollar promised actually gets paid.

THE FOUR THINGS BUYERS ACTUALLY PRICE

Buyers separate dependence into four specific buckets: who originates new business, who holds the key customer relationships, who performs or supervises delivery, and who makes the decisions that can't wait. You can be fully independent on three of the four. The fourth one will still set your price.

"Just Delegate More" Doesn't Work, and Here's Why

The instinct is to hire good people and get out of their way. Brian Chesky tried exactly that at Airbnb and called it, in hindsight, disastrous. The problem wasn't the people. It's that delegation doesn't scale when the decision-making logic still lives only in the founder's head. You can hand someone the authority to decide, but if they don't have the reasoning you use, you've just moved the bottleneck, not removed it.

The actual fix has a name: decision architecture. It means classifying the decisions your business makes, assigning clear ownership to each type, setting thresholds for when something needs to escalate, and then tracking how long decisions take and how often they get reversed. It's less romantic than "hire great people and trust them." It's also what actually works, because it gets your judgment out of your head and into a system other people can run.

The Test That Tells You Where You Stand

There's a simple, uncomfortable way to find out how dependent your business actually is on you: leave for thirty consecutive days. Take no calls. Don't delegate anything in advance beyond what's already written down. Then look at what broke.

Most owners are afraid to run this test because they already suspect what they'll find. That's exactly why it's worth running.

Two Ways to Build a Business That Doesn't Need You

Greg Flynn started with eight Applebee's in Seattle in 1999. Flynn Group now runs roughly 3,000 units and employs 75,000 people, and Flynn is explicit about why:

"What matters is that we've built a business with a reason to exist beyond any one individual, one that can keep growing, evolving and creating opportunity."

Chesky went the other direction after Airbnb's COVID collapse: he re-centralized hard, redrew the org chart, and personally ran product decisions again. Revenue went from an 80% booking collapse to \$6 billion within a year and nearly \$10 billion two years later. That's not a contradiction of the founder-independence argument. It's the same idea from the other side: Chesky rebuilt as the deliberate designer of the decision system, not as the answer to every decision inside it. Both operators ended up in the same place. The founder decides what the rules are. The founder stops being the rule.

A few things worth un-learning:

- Being indispensable doesn't make your business more valuable. It's priced as a discount, not a premium.
- Documentation alone doesn't fix this. SOPs are worth something (roughly a 0.25x to 0.5x multiple bump), but buyers want two years of proof that someone other than you has actually run the thing, not a binder.
- Working harder in the business isn't the path out. Decision demand scales with headcount. Your personal capacity doesn't.

THIS WEEK

Track every decision that lands on your desk this week, no matter how small. At the end of the week, sort them into three piles: things that followed a rule you already know (these should be written down and handed off), things that needed judgment but could be handled with a framework you could write in an afternoon, and things that genuinely needed you. That third pile is almost always smaller than you think. Everything else is your delegation backlog, already sorted for you.



The Next Ten Locations: How to Scale a Multi- Unit Business Without Breaking Operations

Why the stretch from unit three to unit ten feels harder than the stretch from zero to three, and what separates operators who break through it from operators who get stuck in it.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 5 MIN READ

You did the hard part. Unit one, you built with your own hands. Unit two and three, you ran on hustle: eighteen-hour days, personally training every manager, personally answering every 11pm call. It worked. Now you're staring at unit four or five, and something's off. It doesn't feel like the business is compounding. It feels like it's fraying. Margins are softer than they were. Turnover's up. You're more tired for less result than you were a year ago.

You haven't done anything wrong. You've hit a stage that has a name, and it hits almost everyone at almost the same spot.

The Dead Space Between Three and Five Units

Consultants who study multi-unit operators call the zone between roughly three and five units the "dead space." Below three units, one hands-on owner can cover everything. Above five or six, you've usually built (or been forced to build) enough management

layer to run the business without being in every room. In between, you've outgrown what you can personally do, but you haven't built what should replace you yet.

“The greatest risk in multi-unit franchising is not growing too quickly. It is becoming trapped between operator scale and enterprise scale.”

—MELLON FRANCHISING

That's the trap in one sentence. It's not that you grew too fast. It's that your management infrastructure didn't grow with you.

FAST FACTS

- Between roughly 3 and 5 units, symptoms show up as rising complexity, manager turnover, slower execution, and margin pressure, even while revenue is climbing.
- Franchisors stop supporting you at the four walls. Above-store infrastructure, shared services, recruiting, accounting, is entirely on you to build.
- Operators in the 11 to 25 unit tier grew 33% over the last 15 years, and the 26 to 50 unit tier grew 55%, compared to 18.6% growth for operators stuck at 2 to 5 units. Scale, once the infrastructure exists, compounds on itself.

The Unit-3 Failure Mode

Here's exactly how the dead space breaks businesses, and it's specific enough to recognize. An owner hires a GM for unit one, runs unit two personally, and opens unit three at the same time. What happens next is predictable: unit one's revenue dips 8 to 12% during the unit-three build-out because the owner's attention is split. Unit two,

which never got the owner's full focus to begin with, plateaus 10 to 15% below what it should be doing.

Nobody did anything wrong. The math just didn't work, because one person was doing three jobs at once.

The fix is boring and it's the whole point: hire the area manager *before* you open unit three, not after you feel the pain of not having one.

THE UNIT-3 FIX

The salary you're avoiding is \$75,000 to \$95,000 a year. Treat it as a bet, not an expense: a bet that unit three actually works instead of producing three underperforming units where you used to have two strong ones. Operators who try to save that salary by managing everything themselves consistently get the worse outcome, not the cheaper one.

Unit two typically doesn't turn profitable until 12 to 18 months after opening, and during that stretch it needs \$100,000 to \$200,000 in working capital, usually pulled straight out of unit one's cash flow. That's a dependency loop, and it's exactly why the timing of your hires and your financing matters more than the timing of your leases.

Two Camps, One Shared Truth

There's a real debate in this space, worth knowing so you can place yourself. One camp argues you should accelerate *through* the dead space, because additional unit count is what generates the revenue base that eventually pays for the management layer.

Slowing down just prolongs the pain. The other camp argues the opposite: build the systems and leadership readiness first, because roughly 70% of multi-unit development agreements stall out when leadership and systems aren't in place before the growth commitment is signed.

Both camps actually agree on the variable that matters. It isn't speed. It's whether organizational infrastructure is being built in step with unit count, or lagging behind it.

Fast growth with the infrastructure in place works. Fast growth without it produces exactly the unit-3 failure mode above, just at a bigger scale.

The Money Got Easier in 2026

One thing changed this year that's worth knowing if you're financing the next few units: the SBA doubled its combined 7(a) and 504 lending cap from \$5 million to \$10 million, effective July 2026. That means a franchisee can now hold \$5 million in 7(a) operating debt and \$5 million in 504 real estate debt at the same time, a structure that wasn't possible before. Lenders are also increasingly building portfolio-level structures where unit one's performance pre-approves financing for unit two on better terms. If your unit-1 numbers are strong and documented, you have more leverage right now than operators had two years ago. Use it.

What Building Ahead of Need Actually Looks Like

Jim D'Aquila, who built a multi-brand portfolio (Shipley Do-Nuts, Saigon Hustle, Sweet Paris) starting at age 62, put it plainly: *"We made a deliberate choice to build systems and infrastructure ahead of need. From our tech stack to our corporate structure to our talent bench, everything is designed for where we will be in five years, not just where we are today."* That's not a personality trait. It's a purchasing decision, made before the pressure forces it.

Three Things That Aren't True

"A strong first unit proves the model." It proves the concept works once. It says nothing about whether the model works when you're not personally in the building.

"Unit one's cash flow will fund expansion." It will, until it can't. That dependency loop is exactly what strands operators mid-growth.

"The next ten will be as hard as the last three." The data says the opposite. Growth compounds once the infrastructure exists. The hard part is building the infrastructure, not sustaining the growth after.

THIS WEEK

Run the district-manager math before you sign the next lease. Take your current unit-1 and unit-2 margins and subtract a \$75,000 to \$95,000 area manager salary. If what's left still cash-flows positive, you're funded to build the layer you need. If it doesn't, that's the gap to close, in that order, before the next unit, not after it opens and starts bleeding your attention from the units you already have.



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